

Sam Bankman-Fried's crypto exchange files for bankruptcy

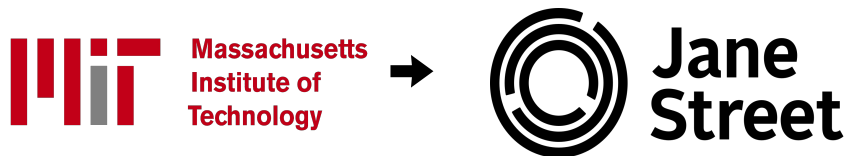
Now begins the blame game



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RISE OF FTX: Sam Bankman-Fried



Profitable w/**Arbitrage** = \$ discrepancies of Bitcoin on American & Asian exchanges



Compete against exchange firms like ...



RISE OF FTX

- Late 2020: FDX volume **rapid** ↑
 - Alameda supplying liquidity to the exchange market.
- Alameda new co-CEOs:
Caroline Ellison & Sam Trabucco
- Sam invest in FTX **marketing**



RISE OF FTX

June 2021 to 2022 beginning:

- \$1.8 billion from SoftBank, Tiger Global, etc.
→ raise legitimacy
- FTX grew to **\$32 billion** & Sam ~**\$20 billion**

Sam's lifestyle:

- vegan, driving a Toyota Corolla, living in an apartment shared w/several employees
- Next Warren Buffett, JP Morgan?



RISE OF FTX

Politics & lobbying:

- Donated ~**\$40 million** to Democratic Party
- Regulatory framework to further improve FTX position in Washington DC



RAPID COLLAPSE OF FTX



CoinDesk: Leaked balance sheet of Alameda

- Most of funds from FTX own token = **FTT**
- FTT not actively traded & mostly held by FTX, Alameda, associated entities

Alameda CEO Caroline: Not full picture of books

BUT market participants extremely sensitive,
began selling crypto
(past collapses of Three Arrows Capital & Terra/Luna)

Business

Divisions in Sam Bankman-Fried's Crypto Empire Blur on His Trading Titan Alameda's Balance Sheet

Alameda had \$14.6 billion of assets as of June 30, according to a private document CoinDesk reviewed. Much of it is the FTT token issued by FTX, another Bankman-Fried company.

By Ian Allison

🕒 Nov 2, 2022 at 2:44 p.m. UTC

Updated Nov 9, 2022 at 6:36 p.m. UTC

RAPID COLLAPSE OF FTX

Binance exchange

- Early FTX investors at end of 2019
- Exit investment BUT paid by stable coins & FTT
 - Binance became major holders of FTT
- CEO Changpeng Zhao (CZ): liquidizing FTT
 - further incentivize selling in FTX

Alameda: willing to buy Binance's FTT at fixed \$22

Still, outflow **\$6 billion in 72hrs**

FTX paused withdrawals



CZ  Binance 
@cz_binance

As part of Binance's exit from FTX equity last year, Binance received roughly \$2.1 billion USD equivalent in cash (BUSD and FTT). Due to recent revelations that have come to light, we have decided to liquidate any remaining FTT on our books. 1/4

7:47 PM · Nov 6, 2022 · Twitter for iPhone

RAPID COLLAPSE OF FTX

In non-binding letter of intent,
Binance is interested in fully acquiring FTX.

BUT Binance **pull out** from the offer after
closer look into the FTX & Alameda books
→ a big multibillion dollar gap!



RAPID COLLAPSE OF FTX

- Nov 11th: Sam stepped down as FTX CEO & filed Chapter 11 **Bankruptcy**
 - FTX.com + Alameda + FTX.us
 - New CEO: John J. Ray III
- 134 legal entities
- No Board, Chief Financial Officer, etc.

Why gap in FTX balance sheet?

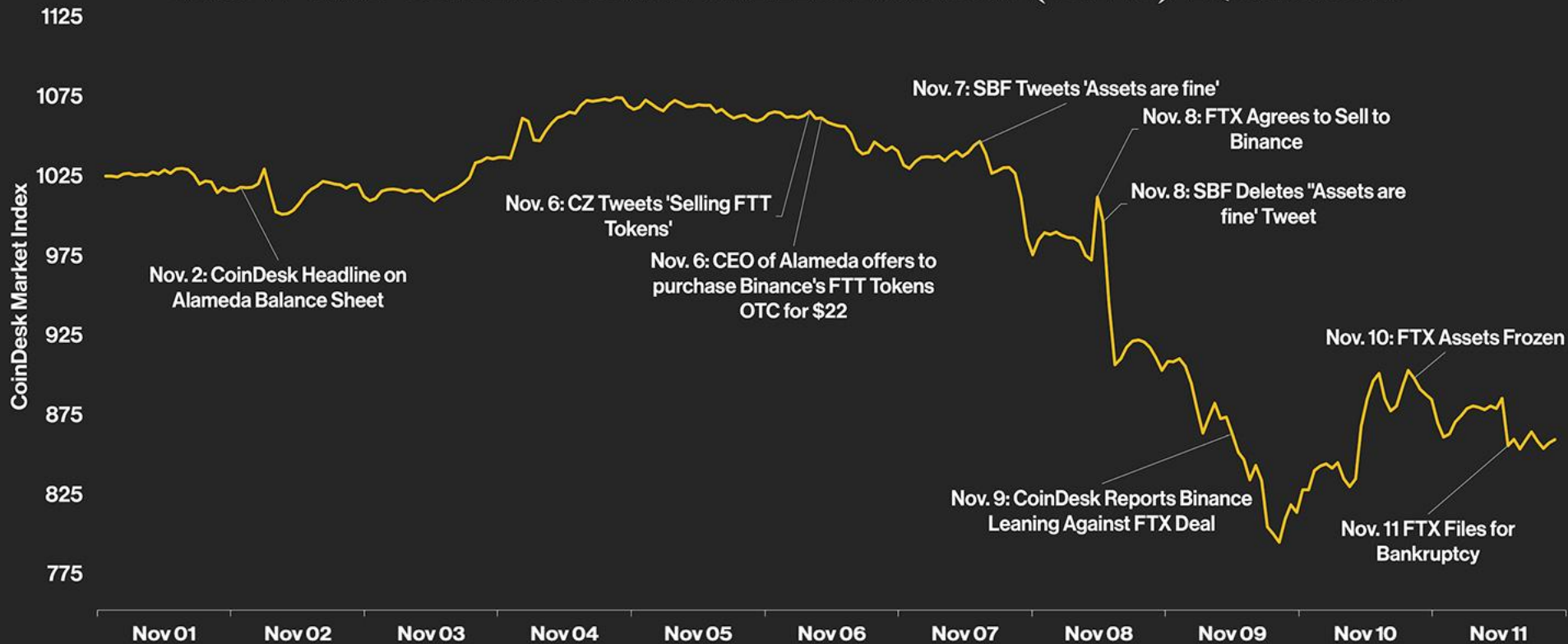
- Lending funds to Alameda
- Back door, so funds not reported correctly

Nov 12th: Remaining FTX exchange balances drop

→ Exploitation!



An FTX Timeline: How the CoinDesk Market Index (CMI) Reacted



IMPACTS ON CRYPTO

BlockFi

- July 2022: **Bailed out** by FDX by offering a \$400 million loan
- Shortly after FTX collapse: **Paused withdrawals**

Loss of trust

- Collapse of Terra/Luna & Three Arrows Capital
- A good reason to heavily regulate → need for more transparency

Further centralization of power in exchange space?



● WATCH LIVE

TECH

Gemini, BlockFi, Genesis announcing new restrictions as FTX contagion spreads

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FUTURE PATHS: Centralized vs. Decentralized Finance

CeFi: centralization & oversight

→ traditional finance structures
(banks)

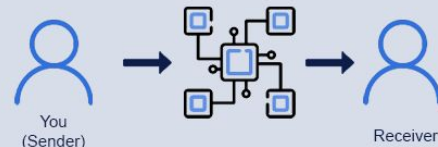
DeFi: financial technology,
on-chain transparency,
self-custody, fair access
→ direct transactions w/blockchain
(no middleman)

→ financial transactions quicker,
cheaper, more efficient

TRADITIONAL FINANCIAL SYSTEM



DECENTRALIZED FINANCIAL SYSTEM



How FTX Went Bankrupt | What Went Wrong | WSJ



Discussion Questions

1. After the collapse of FTX, do you think cryptocurrency is viable currency or scam?
 2. Will you investing in any crypto assets?
 3. In the future, do you think emerging Decentralized Finance (DeFi), traditional Centralized Finance (CeFi), or both systems will exist in the crypto industry?
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**Thank You For
Listening!**